

THE HOLY GRAIL OF TRADING

Session 4 — Comprehensive Student Notes

Instructor: Mr. Balakrishna

Topics Covered: NRC Real-Time Identification · Block Size & Order Flow Setup · References · Major vs Minor Swing Highs/Lows · Support & Resistance · Flip Areas · Multi-Timeframe Rules · Order Flow at References

Class 4 – Reversal Setups

Session Overview

Topic	Summary
1. NRC Real-Time Identification	How to spot NRC as it forms on a live chart, starting from 9:30 AM. Two candles are all you need.
2. Block Size Setup	What block size means in order flow, the formula ($\text{Block Size} \div \text{Tick Size} = \text{Value}$), and how to set it comfortably per instrument.
3. Recommended Block Sizes	Default values for Nifty, Bank Nifty, Crude Oil, Natural Gas, Silver, BTC/USD, and FX pairs.
4. What Are References?	References = locations. Support and resistance levels that price will react to. You cannot trade without them.
5. Types of Reference Levels	Weekly High/Low, Monthly High/Low, Daily High/Low, Swing High/Low, and Flip Areas.
6. Major vs Minor Swings	Major swings = from where smart money caused a big move. Minor swings = small retail-driven moves. Only trade at major levels.
7. How to Draw S/R on a Live Chart	Step-by-step: find LTP, look for major swing lows below and swing highs above, draw horizontal lines.
8. Flip Areas (Change in Polarity)	Broken support becomes resistance. Broken resistance becomes support. Only majors create meaningful flip zones.
9. Multi-Timeframe Rules	Draw S/R on higher timeframe (15 min). Trade on lower timeframe (5 min). Never the reverse. Gap between TFs: minimum 3×.

10. Order Flow at References

Order flow is used ONLY at reference levels — not randomly. References tell you WHERE; order flow tells you WHEN.

11. Breakout Trade Warning

85% of breakouts fail. Never trade breakouts blindly — wait for another reference level after a break.

1. NRC Identification in Real Time (Live Chart)

One of the most common student questions is: how do I identify NRC and WRC on a live running chart, especially right at market open? Balakrishna provides a clear, step-by-step explanation.

1.1 Starting from Market Open — 9:30 AM

- When the market opens, the very first candle that forms is observed closely.
- When the second candle forms, you already have what you need to identify an NRC.
- One Mother Candle + One Baby Candle = a valid NRC structure. You only need two candles.

1.2 Step-by-Step Real-Time NRC Identification

- Step 1: The first candle forms. This becomes your Mother Candle.
- Step 2: The second candle forms. Check: is the maximum body of this baby candle inside the range of the Mother Candle? If yes — you have an NRC.
- Step 3: As each subsequent candle forms, check whether its maximum body remains inside the Mother Candle's range.
- Step 4: As long as candles keep forming inside the Mother Candle range, the NRC continues to be valid. It keeps building.
- Step 5: Once a candle clearly breaks outside the Mother Candle's range — that is the breakdown or breakout. The NRC has triggered.
- Step 6: Mark the Highest High and Lowest Low of all candles within the NRC zone and extend these lines forward.

1.3 What to Do After Marking the NRC

- Extend the NRC boundary lines (highest high and lowest low) forward in time.
- Wait — do not trade inside the NRC. Simply mark it and stay patient.
- When the breakout/breakdown candle forms, that is your trade trigger (after learning the specific setups in later sessions).

□ **Note:** Volume does NOT matter for NRC identification. The only things that matter are: the Mother Candle's range, and whether baby candle bodies remain within that range. Do not over-complicate it.

Key Reminder: After an NRC breakout, price will NOT give a pullback. It blasts directly in the breakout direction. After a WRC breakout (which is rarer — 15% of the time), you will get a pullback for re-entry.

2. Block Size in Order Flow — Understanding and Setup

Block size determines the granularity of data you see in order flow candles. Getting the right block size is essential for reading order flow clearly and comfortably.

2.1 What is Block Size?

Each candle on your order flow chart is made up of individual 'blocks', just like a wall is made of individual bricks. The block size determines how much price movement each brick represents.

- If block size is ₹1: every ₹1 of price movement creates one block. Candles become very tall and detailed — often too tall to read on a single screen.
- If block size is ₹5: every ₹5 of price movement creates one block. Five times fewer blocks — candle becomes shorter and more readable.
- If block size is ₹50: every ₹50 creates one block. Very compact candles — you can see many candles at once, but less granularity.

Shopkeeper Analogy: A shopkeeper is asked to report every minute. It is overwhelming and impractical. Instead, he reports every hour — one number representing the entire hour's business. Increasing block size is like increasing the reporting interval: less detail, but far easier to manage and interpret.

2.2 The Block Size Formula

Every instrument has a different Tick Size — the minimum price increment it can move. The Block Size formula lets you convert your desired block size into the Value field in the order flow software.

Component	Explanation
Formula	Value = Block Size ÷ Tick Size
Block Size	The price movement per block you want (e.g., ₹10, ₹5, ₹2.5). This is your desired granularity.
Tick Size	The minimum price movement for that instrument. Find it in the order flow settings or instrument details.

Value	The number you input into the order flow software's block size/value field.
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Worked Example — Nifty with Block Size of ₹10

- Desired Block Size = ₹10
- Nifty Tick Size = 0.1
- Value = $₹10 \div 0.1 = 100$
- Input '100' into the Value field in your order flow software. Your block size is now ₹10.

Worked Example — Tata Steel with Block Size of ₹0.10

- Desired Block Size = ₹0.10 (10 paise)
- Tata Steel Tick Size = 0.01
- Value = $0.10 \div 0.01 = 10$
- Input '10' into the Value field. Your block size is now 10 paise.

2.3 What is Tick Size?

- Tick size is the minimum permissible price increment for any instrument.
- Analogy: when buying bananas, you buy in multiples of 1 banana. You cannot buy half a banana. 1 is the tick size.
- For sugar sold in grams: if the shop sells in minimum 10 gram increments, 10 grams is the tick size.
- Each stock and instrument has its own tick size — find it in the order flow software settings under the instrument details.
- Tick size may change over time based on exchange regulations. When it changes, recalculate your block size value.

2.4 How to Choose the Right Block Size

There is no universal 'correct' block size. The goal is comfort and readability. The right block size is the one where:

- You can see the numbers inside the candle clearly without zooming excessively.
- Multiple candles are visible on your screen simultaneously.
- The candle is neither too tall (over-detailed) nor too short (under-detailed).
- You can comfortably read the order flow data inside each block.

□ **Note:** Once you decide on a block size for an instrument, keep it consistent. Do not change it randomly. Changing block size frequently means you are comparing incompatible data. Balakrishna uses 25 for Nifty and keeps it consistent.

2.5 Recommended Block Sizes by Instrument

Instrument	Recommended Block Size	Notes
Nifty Futures	₹25 or ₹50	Both work comfortably. Balakrishna personally uses 25.
Bank Nifty	₹25 or ₹50	Same as Nifty — either is fine.
Crude Oil	₹2 (worst case ₹3)	Every ₹1 counts in crude oil. Use 2. Do not use 3 or 5.
Natural Gas (NG)	₹2	Same as crude oil. Compact moves, use fine granularity.
Silver	₹50	₹50 block size is comfortable for silver.
BTC/USD	10 to 25 (check 10 & 25)	Verify on your screen. Start with 10, check if comfortable.
XAUUSD (Gold)	1000	Use 1000 for gold FX pairs.
Other Stocks	Set individually	Use formula. Start with ₹2 or ₹3, adjust until comfortable.

□ **Note:** For individual stocks, apply the formula and start with a small block size. Adjust upward until candles are readable on your screen. The Pro Charting platform allows you to save a template per stock — create one and reuse it.

3. References — The Foundation of All Trading

References are the core concept of Session 4. Every trade in this system is taken ONLY at a reference level. References tell you WHERE to look for trades.

3.1 What is a Reference?

- A reference is simply a location on the chart — a specific price level that has proven to be significant.
- References are the support and resistance levels where price is expected to react.
- Without a reference, there is no trade. You cannot enter a trade at a random price. Every entry must have a reference justifying it.

Balakrishna's Analogy: Imagine someone calls you. They cannot call you without having your name — they need to refer to something to reach you. In the same way, a trade cannot exist without referring to a location. The reference is the 'name' of the trade location.

3.2 Types of Reference Levels

There are five main types of reference levels used in this system:

Reference Type	Description
Weekly High / Weekly Low	The highest and lowest price of the previous complete week. Price tends to react at these levels during the upcoming week.
Monthly High / Monthly Low	The highest and lowest price of the previous complete month. Stronger than weekly levels.
Daily High / Daily Low	The high and low of the previous trading day. Used for intraday reactions.
Swing High / Swing Low	Price peaks (swing highs) and troughs (swing lows) identified on your trading timeframe. These are major references.
Flip Area (Change in Polarity)	A former support level that has been broken and now acts as resistance — and vice versa. Extremely powerful reference.

3.3 How to Use Weekly/Monthly/Daily References

- To view the Previous Week High/Low: change your chart timeframe to Weekly. The previous week's candle shows you the high and low. Mark these as horizontal lines and switch back to your trading timeframe.

- To view the Previous Month High/Low: change to Monthly timeframe, mark the previous month's high and low.
- To view the Previous Day High/Low: change to Daily timeframe, mark yesterday's high and low.
- These levels are drawn once (after close of the relevant period) and remain fixed until price reacts to them or they are replaced by the next period's levels.

How Price Uses These Levels: When price is moving upward and reaches the previous week's high — it will react. It may reverse, consolidate, or break through after several attempts. This is your reference. Look for order flow activity here.

□ **Note:** *You are a 'responsive trader' — you wait for price to come to your reference level and then look for the response. You do not predict where price will go; you respond to what price does when it arrives at a known reference.*

4. Major vs Minor Swing Highs and Lows

Not all support and resistance levels are equal. The distinction between Major and Minor levels is critical — your trading decisions depend entirely on which type you are looking at.

4.1 The Core Distinction

Type	Definition & Significance
Major Swing Low (Major Support)	A swing low from which a LARGE, noticeable price move upward occurred. This indicates Smart Money initiated buying here.
Major Swing High (Major Resistance)	A swing high from which a LARGE, noticeable price move downward occurred. Smart Money initiated selling here.
Minor Swing Low (Minor Support)	A small swing low from which only a small, weak recovery happened. Driven by retail traders. Easy to break.
Minor Swing High (Minor Resistance)	A small swing high from which only a small decline happened. Retail-driven. Easy to break.

4.2 The Father and Son Analogy

Balakrishna uses the most memorable analogy of the session to explain this concept:

- The Minor swing is like a Child (Son). Easy to fight. Easy to defeat. It loses quickly.
- The Major swing is like a Father. Very strong. Very difficult to beat. It fights back hard.
- If price tries to break a Minor level — it is like fighting a child. It is easily broken.
- If price tries to break a Major level — it is like fighting a father. It requires multiple attempts, repeated pressure, and eventually a very large force to break through.
- Major support and resistance REJECT price repeatedly before eventually breaking (if they break at all).

❑ **Rule: We do NOT take trades at Minor support and resistance. We ONLY trade at Major support and resistance. Minor levels are like children — they offer little protection and no meaningful trade opportunity.**

4.3 How to Identify a Major Swing

The key question to ask at every swing high or swing low is: 'Was there a BIG, noticeable price movement from this point?'

- Identify a swing low (a local bottom) on your chart.

- Look at the price move that originated FROM that swing low. Was it large and noticeable compared to other moves on the chart?
- If YES → this is a Major Support (Smart Money was buying here; they had the power to create a large move).
- If NO → this is a Minor Support (only retail traders bought here; the resulting move was small).
- Apply the same logic to swing highs: was there a large, noticeable downward move from this swing high? If yes → Major Resistance.

4.4 The Context-Dependent Nature of Major/Minor

The size of what counts as 'major' is relative to the current volatility and momentum of the instrument. There is no fixed point value that defines 'major'. It is context-dependent.

- Compare all the swings visible on your chart. Draw the movements (like vertical lines) to visualise their sizes.
- Find the average movement size across all swings currently on screen.
- Any swing with a movement clearly larger than average = Major. Any swing with a movement smaller than average = Minor.
- This calibration changes over time: a market that previously moved 300 points per swing might now move 1,000+ points per swing (as seen in Crude Oil). What was major before may now be minor in the new context.

School Grade Analogy: A score of 50 is exceptional for a first-standard child — it represents their maximum capacity. But a 50 is mediocre for a 10th-standard student who should be scoring 90+. The same score means different things depending on context. Major and minor are judged the same way — relative to the current capacity of the market.

4.5 Smart Money vs Retail Activity — How to Tell

- Smart Money activity creates BIG moves. When institutions buy at a swing low, they have enough capital to push the market significantly upward.
- Retail activity creates SMALL moves. All retail traders combined may push the market up only a few hundred points — then the move exhausts.
- A swing low with a large upward move = Smart Money bought here → Major Support.
- A swing low with only a small upward move = Retail bought here → Minor Support.

Child Analogy: If you ask a child to carry a 10 kg load to the 10th floor, he might manage to the 2nd floor — then he stops. That is a Minor move. If a strong adult carries the same load, he walks straight to the 10th floor easily. That is a Major move driven by institutional strength.

5. Drawing Support and Resistance on a Live Chart

This section gives the exact step-by-step method for drawing support and resistance lines while the market is live — one of the most practical skills in this session.

5.1 Starting Point — Find the LTP

- LTP = Last Traded Price = Current Market Price. This is where the market is right now.
- All your reference lines are drawn in relation to the LTP. You need support below LTP and resistance above LTP.
- You do NOT need minor supports or resistances — only major ones.

5.2 Drawing Support Levels (Below LTP)

- Step 1: Look below the current LTP. Scan the chart to the left for swing lows (local price bottoms).
- Step 2: For each swing low, ask: 'Was there a big move upward from here?' If yes → Major Support. Mark it.
- Step 3: Look for the origin of the current LTP. Which major swing low is the source of the rally that brought price to its current level? This is the most important support level.
- Step 4: Use the Magnet tool (horizontal line with magnet snap) to draw the horizontal line precisely at the lowest point of the swing low candle. Click once — the line snaps to the exact low.
- Step 5: Continue looking further below for additional major swing lows. Draw lines for each — you may have Support 1, Support 2, Support 3 below the current LTP.

5.3 Drawing Resistance Levels (Above LTP)

- Step 1: Look above the current LTP. Scan to the left for swing highs (local price peaks).
- Step 2: For each swing high, ask: 'Was there a big move downward from here?' If yes → Major Resistance. Mark it.
- Step 3: Find the nearest peak above the LTP first — this is the most immediately relevant resistance.
- Step 4: Use the horizontal line tool, touch the tip of the swing high candle, and click to draw. The line is drawn at the exact swing high.
- Step 5: Continue looking further above for additional swing highs. Draw Resistance 1, Resistance 2, Resistance 3 above LTP.

5.4 What You End Up With

After completing the above steps, you will have:

- The current LTP (current market price) — your reference point.
- Two or three major support lines below LTP — where price is expected to find buying interest.
- Two or three major resistance lines above LTP — where price is expected to find selling pressure.
- Price is now 'sandwiched' between known reference levels. You wait for it to travel to one of these levels before acting.

□ **Rule:** If price breaks through a support level, that support is no longer valid for the immediate future. Immediately begin searching for the next major support below. The old broken support may become a resistance (flip area — see Section 6).

5.5 Practical Trading Rules at Support and Resistance

Once your S/R map is drawn, follow these simple but strict rules:

Location	Action
At Support (or just above support)	Look for BUYING opportunities ONLY. Do not consider selling here.
At Resistance (or just below resistance)	Look for SELLING opportunities ONLY. Do not consider buying here.
Between support and resistance	Do NOTHING. No trade. Wait for price to reach a reference level.
When support is broken	Do NOT sell immediately. Wait for price to find the next major support below. Then look to buy there.
When resistance is broken	Do NOT buy immediately. Wait for price to find the next major resistance above. Then look to sell there.

□ **Note:** The simplest way to trade this system: look for buy trades at support, sell trades at resistance. That is the entire concept. Everything else (order flow, NRC, WRC, delta) are tools to confirm entries at these reference levels.

6. Flip Areas — Change in Polarity

Flip Areas (also called Change in Polarity or CIP) are one of the most powerful and reliable reference levels in technical analysis. They describe what happens when price breaks through a support or resistance level.

6.1 The Core Concept

- When a SUPPORT level is broken: that support level flips and now acts as RESISTANCE.
- When a RESISTANCE level is broken: that resistance level flips and now acts as SUPPORT.
- This flip is predictable and repeatable. If you know where the flip zone is, you can anticipate where price will react next.

6.2 Why Does the Flip Happen?

The psychological mechanism is straightforward:

- When price was supported at a level, buyers entered there. They had a positive experience — price went up from their buy.
- Now price breaks back down through that support. Those buyers are now sitting at breakeven or at a loss.
- When price rallies back up to the old support level, those buyers will SELL to exit (at breakeven) or the market will feel resistance from previous sellers who originally held that level.
- This creates resistance exactly where support used to be — the flip.

College Crush Analogy: You loved a girl in college. She cheated on you and left. Now if she comes back, you are angry at her. The same person who gave you positive feelings before now causes negative feelings — a complete flip in polarity. Price reacts the same way at old support/resistance levels.

Floor and Ceiling Analogy: When you are on the first floor, the floor is your support and the ceiling is your resistance. When you go up to the second floor, the old ceiling of the first floor becomes the new floor (support) of the second floor. The next ceiling above becomes the new resistance.

6.3 Major vs Minor Flip Areas

Flip Type	Significance
Major Flip Area	Formed when a MAJOR support or resistance is broken. Creates a very strong and reliable flip zone. Always trade these.

Minor Flip Area

Formed when a minor support or resistance is broken. Small, unreliable reaction. Do not build trades on minor flip areas.

□ **Rule:** Only major levels create meaningful flip areas. If a minor resistance breaks, the flip into support is too weak to trade. Always confirm that the original level was major before using the flip zone as a reference.

6.4 Flip Area in Practice — Step by Step

- Step 1: Identify a major support level on your chart.
- Step 2: Price breaks down through this support decisively.
- Step 3: The old support line is now your flip resistance line.
- Step 4: When price rallies back up toward this old support level, it will encounter resistance there.
- Step 5: Look for a sell trade at the flip resistance — price is expected to be rejected and fall from this level.
- Step 6: Apply order flow confirmation at the flip zone to time the exact entry.

6.5 Real Chart Example (Crude Oil)

- A major support was identified on the crude oil chart at a key swing low.
- Price came down and broke this major support decisively.
- On the subsequent pullback, price rallied back toward the old support level.
- Exactly at that old support level (now flip resistance), price was rejected and fell again.
- This is the flip resistance trade — one of the cleanest setups in the system.

□ **Note:** Flip areas become invalid if price visits them too many times without a clean reaction. After 2-3 clean rejections, the flip zone has been 'consumed' and may not provide reliable signals going forward. Always reassess.

7. Multi-Timeframe Analysis Rules

Many traders confuse themselves with multi-timeframe analysis. Balakrishna provides clear, simple rules that eliminate confusion.

7.1 The Golden Rule

Action	Timeframe
Draw Support & Resistance	HIGHER Timeframe (e.g., 15 minutes)
Execute the Trade	LOWER Timeframe (e.g., 5 minutes)

- Never draw support and resistance on the lower timeframe and trade on it.
- Never draw support and resistance on the higher timeframe and then try to trade directly on the higher timeframe.

7.2 The Gap Between Timeframes

- The two timeframes you use must have a minimum gap of 3 times.
- For example: If your lower trading timeframe is 5 minutes, the minimum higher timeframe for drawing S/R is 15 minutes ($5 \times 3 = 15$). Good.
- Another valid pair: 15 minutes (drawing) and 5 minutes (trading). ✓
- Another valid pair: 75 minutes (drawing) and 15 minutes (trading). ✓
- An INVALID pair: 1 hour (drawing) and 5 minutes (trading). The gap is 12× — too large, creates confusion.
- Another INVALID pair: 15 minutes (drawing) and 10 minutes (trading). The gap is only 1.5× — too small.

Recommended Combination: Draw on 15-minute chart. Execute/trade on 5-minute chart. This is the standard combination for intraday trading in this system.

7.3 Why Not Use Many Timeframes?

- Multi-timeframe analysis with 3, 4, or 5 timeframes creates enormous confusion.
- Different timeframes will show conflicting signals — one says buy, another says sell.
- The more timeframes you use, the more time you spend resolving conflicts instead of trading.
- Two timeframes are sufficient. Keep it simple. Maximum effectiveness with minimum complexity.

7.4 Types of Support and Resistance (Additional Reference)

Beyond swing-based S/R, there are other types of support and resistance. These are listed here for awareness, though the primary focus is on swing-based major S/R:

Type	Description
Horizontal S/R (Primary)	Based on swing highs and lows. The most reliable type. This is what the course focuses on.
Dynamic S/R (Moving Averages)	Moving averages (e.g., 20 MA, 50 MA) act as moving support/resistance. These shift as price moves.
Statistical S/R (Pivot Points / CPR)	Mathematically calculated levels (Pivot, R1, R2, S1, S2, CPR). Work on memory/statistical reactions.
Geometric S/R (Trend Lines)	Lines drawn connecting swing highs or swing lows. Require experience to draw and use accurately. Work based on crowd psychology and memory.

□ **Note:** *Trend lines require experience. They are NOT random — they work because traders collectively remember and react to them. However, using them prematurely without experience can lead to confusion. If you know how to use trend lines, you may combine them with horizontal S/R. Otherwise, stick to horizontal S/R only.*

8. Order Flow at Reference Levels

Order flow is NOT applied randomly across the chart. It has one specific purpose in this system: to confirm entries at reference levels.

8.1 The Role of Order Flow

- References tell you WHERE to look for trades. Order flow tells you WHEN to enter.
- You wait for price to arrive at a major support or resistance level.
- Once price is at the reference level, you activate order flow analysis to look for confirmation of a trade entry.
- Without a reference level, there is no point reading order flow. Order flow without context is noise.

Key Principle: Order flow should be seen ONLY at the references. It is not a standalone tool — it works in conjunction with the support/resistance framework you have built.

8.2 Options Trading — A Critical Rule

- Order flow is NEVER applied directly to options charts.
- Options pricing is driven by multiple variables (Delta, Gamma, Theta, Vega — the Greeks), not just price. Technical analysis and order flow do not apply directly.
- You ALWAYS analyse the Futures chart (Nifty Futures, Bank Nifty Futures) using order flow and support/resistance.
- Based on your analysis of the futures chart, you then execute your trade in the options market.
- The futures chart is your analysis instrument. The options market is your execution vehicle.

□ **Rule: Never draw order flow or support/resistance on an options chart directly. Options prices are not purely technical — they are affected by time decay, volatility, and other non-price variables. Always use the underlying futures chart for analysis.**

8.3 When to Use Which Entry Method

Trader Type	Recommended Entry Method
Advanced / Fast / Experienced	Use SMC (Selling Market Candle) and BMC (Buying Market Candle) patterns directly at the reference level. Faster, more precise.
Developing / Learning	Use Delta (the net buyer/seller dominance number) at the reference level. Easier to interpret, still effective.

All traders

Verify every trade entry using order flow. Never enter blindly based on pattern alone.

8.4 The Right Time Frames for Order Flow

- Always use 5-minute and 15-minute charts for order flow analysis.
- Higher timeframes (1 hour, 4 hours) are unnecessarily complex for intraday trading. The information they provide is redundant.
- Lower timeframes (1 minute, tick charts) are too noisy for clear order flow reading.
- 5 and 15 minutes give the right balance: enough detail, manageable noise, clear signals.

9. Trading Crude Oil and Other Instruments

Balakrishna strongly recommends that students who work in morning shifts — or anyone who wants to trade outside Nifty hours — consider Crude Oil and Natural Gas (NG) as additional trading instruments.

9.1 Why Crude Oil?

- Crude Oil (MCX) trades in the evening sessions — allowing morning-shift workers to trade after work hours.
- Crude Oil gives consistently large movements. In a single 15-minute candle, 100 points of movement is common (equals ₹5,000 profit per lot with small investment).
- It has specific trading hours/sessions — you do not need to sit in front of the screen all day.
- In Crude Oil, 1 point = ₹100 for futures. Even a 500-point move (which is common) = ₹50,000 per lot.
- The same system (NRC, WRC, References, Order Flow) applies to Crude Oil exactly as it does to Nifty.
- Block size recommendation: use ₹2 (Value = 2, assuming tick size of 1 for MCX Crude).

9.2 Practical Advice for Starting

- Do not start trading Crude Oil immediately. First watch it for 15 days to 1 month to understand its behavior.
- Data subscription for MCX is approximately ₹100/month — a negligible cost for the learning opportunity.
- Practice paper trading in Crude Oil before putting real capital.
- Use the same NSE + MCX combined broker account (one investment, trade both markets). Ask for Karamjeet's broker link for this.

□ **Note:** The risk per setup in this system is very small. Even in Crude Oil, your stop loss will be tight based on the reference levels and NRC/WRC structures. The system's edge comes from precise entries, not large position sizes.

10. Live Market Context — Nifty Analysis

During the session, Balakrishna analysed the current Nifty and Silver charts live. The key observations are recorded here as learning examples.

10.1 Nifty — Daily Chart Analysis

- A key resistance level was identified on the daily Nifty chart. Price broke this resistance, and it subsequently turned into support (flip area).
- Price recently came back down to this flip support zone and took support there — confirming the flip area theory.
- This support was later broken. The old support becomes the new flip resistance.
- Current analysis: Nifty is near a flip resistance zone. A sell trade opportunity is expected when price revisits this area.
- Key downside support identified: Nifty at approximately 22,000–22,100 (based on major swing low with a big prior move upward).
- Expected bounce from this major support: 500 to 800 points. Could reach up to 24,000.

10.2 Silver — Forming a WRC

- Silver is currently forming a WRC (Wide Range Consolidation) pattern.
- For long-term investors: Silver at current levels is safe to start accumulating. Not for short-term trading.
- The WRC in Silver will give trading opportunities on both sides — buy at support of WRC, sell at resistance of WRC.

10.3 Gold — NRC at a Key Level

- Gold is forming an NRC near a critical level (around ₹1,40,000 in Gold Futures).
- ₹1,40,000 is a strong support in Gold Futures. Price is unlikely to go below this level in the near term.
- If the NRC breaks upward, Gold may create a new all-time high above ₹1,70,000.

11. Session 4 Golden Rules

#	Golden Rule
1	NRC can be identified with just TWO candles — the Mother Candle and one Baby Candle. You don't need to wait for many candles.
2	As long as baby candle bodies remain inside the Mother Candle range, the NRC is valid and still forming.
3	Volume does NOT matter for NRC identification. Only the candle body range matters.
4	Block size formula: $\text{Value} = \text{Block Size} \div \text{Tick Size}$. Input the Value into your order flow software.
5	There is no universal 'correct' block size. Choose what is comfortable and readable on your screen. Then keep it consistent.
6	You CANNOT trade without a reference. Every trade must be anchored to a support or resistance level.
7	References: Weekly H/L, Monthly H/L, Daily H/L, Swing High/Low, and Flip Areas. These are your five reference types.
8	Trade ONLY at MAJOR support and resistance. Never at Minor levels. Major = big price movement originated from there.
9	Major and Minor are relative and context-dependent. Compare the size of moves on the current chart to determine which is which.
10	At SUPPORT: look for BUY trades only. At RESISTANCE: look for SELL trades only. Do NOTHING in between.
11	When support breaks: do NOT sell immediately. Find the next major support below and look to BUY there.
12	When resistance breaks: do NOT buy immediately. Find the next major resistance above and look to SELL there.
13	Broken MAJOR support becomes MAJOR resistance (Flip Area). Broken MAJOR resistance becomes MAJOR support.
14	Broken Minor support becomes Minor resistance (weak flip). Do not rely on minor flip areas for trades.
15	Draw S/R on HIGHER timeframe. Trade on LOWER timeframe. Minimum gap between the two: 3 times (e.g., 15 min and 5 min).
16	Do NOT draw S/R on lower timeframe and trade it. Do NOT draw S/R on higher TF and execute on the same higher TF.
17	NEVER apply order flow directly to Options charts. Always analyse Futures charts. Execute in options based on futures analysis.
18	Order flow is used ONLY at reference levels — not randomly. References tell you WHERE; order flow tells you WHEN.

19	85% of breakouts FAIL. Never trade a breakout blindly. Wait for another major reference level after a break.
20	Use 5-minute and 15-minute charts for order flow. No need for higher or lower timeframes.

12. Glossary of Key Terms

Term	Definition
Mother Candle	The large reference candle that defines the outer boundary of an NRC. Baby candles form inside its range.
Baby Candle	Any candle after the Mother Candle whose maximum body remains inside the Mother Candle's high-to-low range.
NRC (Narrow Range Consolidation)	A tight price range where baby candles form inside a Mother Candle. Stores energy for a powerful breakout (no pullback after break).
WRC (Wide Range Consolidation)	A wide price range where price oscillates between support and resistance, spending energy. 85% of WRC breakouts fail.
Block Size	The price increment represented by each block (brick) in an order flow candle. Determined by: $\text{Value} = \text{Block Size} \div \text{Tick Size}$.
Tick Size	The minimum permissible price increment for a given instrument (e.g., Nifty = 0.1, Tata Steel = 0.01).
Value (Order Flow Setting)	The number entered into the order flow software to achieve your desired block size. Calculated from the formula.
Reference	A specific, significant price level (support or resistance) where price is expected to react. Every trade needs a reference.
Major Support	A swing low from which smart money initiated buying and a large upward price move occurred.
Major Resistance	A swing high from which smart money initiated selling and a large downward price move occurred.
Minor Support	A small swing low from which only a small, retail-driven price recovery occurred. Easy to break.
Minor Resistance	A small swing high from which only a small, retail-driven decline occurred. Easy to break.
Swing Low	A local price bottom where price stopped falling and reversed upward.
Swing High	A local price peak where price stopped rising and reversed downward.
Flip Area	Also called Change in Polarity (CIP). A support that has been broken and now acts as resistance — or vice versa.

Major Flip Area	A flip zone created by the break of a major support/resistance. Highly reliable for trades.
Change in Polarity (CIP)	Technical term for a Flip Area. The role of a price level switches from support to resistance or vice versa after being broken.
LTP	Last Traded Price. The current market price — your reference point for drawing S/R above (resistance) and below (support).
Responsive Trader	A trader who waits for price to arrive at a known reference level before taking action, rather than predicting direction.
Multi-Timeframe Analysis	Using two timeframes: one for drawing S/R (higher) and one for executing trades (lower). Gap minimum 3×.
Delta	Buy Volume minus Sell Volume. Measures net dominance. Used to confirm entries at reference levels.
SMC / BMC	Selling Market Candle / Buying Market Candle. Pure order flow entry patterns used at reference levels.
Order Flow	Analysis of the actual buy and sell orders within each candle (market orders vs limit orders, delta, imbalances).

13. Practice Recommendations

Core Practice Tasks

- Open a live Nifty or Bank Nifty chart at 9:30 AM. Watch the first two candles form. Identify the Mother Candle and the first Baby Candle. Mark the NRC boundary lines.
- Continue watching as each new candle forms — verify whether each baby candle's body remains inside the Mother Candle range.
- When a breakout candle forms, note whether price gave a pullback or blasted directly. Confirm the NRC rule.
- Set up order flow block size correctly for at least three instruments: Nifty, one stock, and Crude Oil. Use the formula for each.
- On a 15-minute Nifty chart, draw all major support and resistance levels below and above the current LTP. Identify at least 3 supports and 3 resistances.
- Identify 2 flip areas on any chart — a former support now acting as resistance, and a former resistance now acting as support. Confirm each flip is from a major level.
- Compare all swing sizes on a chosen chart. Draw vertical lines equal to each swing move. Identify which swings are major (above average size) and which are minor (below average).
- On a lower timeframe (5 min), look for order flow activity when price approaches one of the major S/R levels you have drawn. Do not enter a trade yet — just observe.
- Use the Replay/Backtest feature: go back 1-2 months in history, draw supports and resistances, and watch how price reacted at each level.

- Watch Crude Oil for 15 days — one hour in the evening. Get familiar with its movement patterns without trading real capital.

What's Coming Next

- Session 5: The Setups — specific entry patterns that combine references, NRC/WRC, and order flow into complete, actionable trade setups.
- Balakrishna sir will cover exactly how to execute trades at references using confirmed order flow entries.
- Do not miss the next class. The foundation (Sessions 1–4) has been laid — the setups complete the picture.

End of Session 4 Notes

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